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FX

FX Daily: Summer complacency questioned

Energy price rises and the likely central bank response have triggered increased volatility across the bond, equity and FX space. This has led to some pressure on popular summer carry trades and refocused attention on energy-exporting currencies backed by central banks ready to tighten. Expectations of Fed tightening will keep the dollar bid



Energy price increases and a bond market sell-off favour the dollar

↑ USD: It's all about the Fed

The dollar continues to perform well as high energy prices raise expectations for a central bank response. President of the ECB, Christine Lagarde, made it [pretty clear yesterday](#) that the central bank would be hiking in September, and markets now price a further 75bp of tightening for both the ECB and the Bank of England. That seems excessive, but is hard to fight unless energy prices turn sharply lower soon.

Crucially – and after the June FOMC meeting – the market believes the Federal Reserve will have to respond as well. Since that June FOMC meeting, two-year real USD swap rates have risen 30bp as investors buy into the only message we have heard from the Fed – the need to restore credibility when it comes to fighting inflation. While we do not think the Fed will hike next week, it remains very dangerous to fight this trend and, as we have been saying all week, we expect the dollar to outperform.

US data today is relatively light – just July S&P PMI readings and new home sales. But with US President Donald Trump threatening a fresh military onslaught on Iran, expect investors to hold onto their long dollar balances into the weekend. DXY is not far from June's 101.80 high and an upside break-out cannot be ruled out.

Chris Turner

📉 EUR: Real rate spreads moving against EUR/USD

A hawkish hold from the ECB provided little support to the euro yesterday. The reasons for that appear to be high energy prices weighing on European growth prospects and, more importantly, a larger adjustment in real rates in the US than in the eurozone. Here, two-year real EUR/USD swap differentials have widened out to levels last seen in late 2024 when EUR/USD was trading under 1.10. We do not think EUR/USD needs to trade down to those levels now, but as long as energy prices continue to fire up Fed tightening expectations, we think the pair should be pressing the low 1.13s.

For today, the eurozone data focus will be the July flash PMIs and also the WAVE inflation survey. These should confirm the ECB's risk assessment of downside risks to growth and upside risks to inflation.

Chris Turner

➡ CEE: Hawkish repricing should stabilize FX

The CEE region was hit hard yesterday by the global rise in oil and gas prices, triggering a sharp repricing of implied policy-rate paths. In Poland and the Czech Republic, markets effectively added one extra hike, taking implied tightening to 90bp in the Czech Republic and 70bp in Poland. In Hungary, markets priced out roughly half a cut, leaving only two cuts implied. This brings pricing back to or even above the stressed March-April peaks.

Our economists are keeping their forecasts unchanged for now: no rate change in Poland or the Czech Republic, and continued cuts in Hungary to 5.00% by year-end. The move appears to reflect stop-losses on earlier receiver positions and a broader positioning reversal. Given the scale of the oil and gas price increase and strong relationship with front-end rates these days, hawkish repricing could continue today unless the geopolitical backdrop improves.

On the positive side, higher market rates offer some protection for CEE FX, which has been under pressure in recent days. Based on rate differentials in our models, fair-value levels are around 4.290-4.300 for EUR/PLN and 24.100-24.150 for EUR/CZK. A stronger US dollar and risk-off sentiment will likely limit CEE FX upside in the current environment, but higher rates should at least help stabilise regional currencies.

Frantisek Taborsky

➔ KRW: The mighty won

[Earlier this month](#), we highlighted that the Korean won might be due some outperformance, especially against the Japanese yen. KRW/JPY has since rallied 3.5%, largely due to a surge in the won. That move could be attributed to some short-term factors such as reports of Hynix repatriating some of its \$16bn American Depositary Receipt listing back to Korea. But there is also some macro support for the move, where earlier this week Korea reported impressive growth of 0.6% quarter-on-quarter in the second quarter. Following that and a hawkish rate hike to 2.75% from the Bank of Korea last week, investors have added an extra 50bp to their expected BoK tightening cycle this month.

It is probably a little too early to conclude that we have seen a sea change in the USD/KRW trend. Yet it does raise some questions for USD/JPY and whether some better Japanese activity data, particularly the second quarter GDP release in mid-August, can provide a tailwind to reports that the Bank of Japan might be considering a faster pace to its tightening cycle.

The implications here are that even though the energy/Fed story could drive USD/JPY briefly towards the 165 area next week, gains may well prove limited and something of a reversal could be seen through August.

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